

The way to beat this phenomenon is either to exercise remarkable self-control or to outrun your wants and needs with “escape velocity” wealth. That is, wealth that rockets up so fast, you can’t shop fast enough to keep up with it.

Typically, people reach “financial escape velocity” when their wealth surprises them. A family may own a farm or an apartment building. The asset is not very exciting, so they forget about it. And then, one day, they wake up to the fact that it is in the path of a major development, and they are being offered far more than they expected for it. That’s the beauty of real estate. It does not go up any faster than anything else, but it is hard to spend. As it increases in value, its owner has no more income to dispose of. He is trapped. He gets rich in spite of himself. Nor does he pay current taxes on his rising wealth. This allows him to build wealth on a pretax basis, greatly enhancing the rate of return.

Another way to reach financial escape velocity is by using the miracle of compound interest. You make a small investment. You add to it. You keep at it.

Compounding works its magic. After a few years, you may notice that your wealth has raced ahead of your expenses. If you are lucky, you will be able to hide the fact from the rest of the family, allowing the compounding more time to reach escape velocity. Imagine, for example, that you have an account that has grown to \$2 million, compounding at 10 percent per year (just to keep the math easy). You will earn \$200,000 from the account this year. If you take it out and spend it, the compounding effect will stop. You’ll have \$200,000 to spend. But your wealth will cease to grow. And your family will have a chance to bring its spending habits up to the level of your income. Better to say nothing and let it run. After another five years, you’d have \$3.2 million—giving you more than 50 percent more income.

Another place compounding works is in business. Often, businesses reflect the kind of compound growth you might otherwise get from an investment; only, it is less obvious. Accumulated effort compounds like dollars and cents. Work, capital investment, contacts, skills and a little luck are a great combination. Earnings can creep up on you. One year, your business earns \$100,000. Ten years later, it earns \$1 million. And if you’ve been putting your earnings back into the business, you would not have